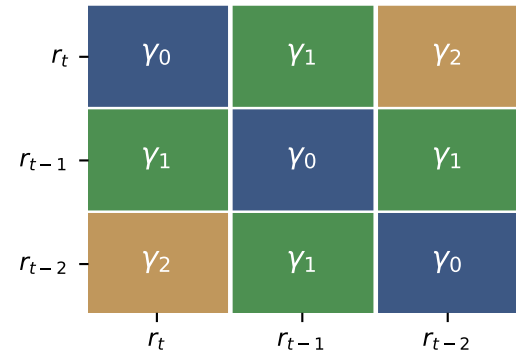
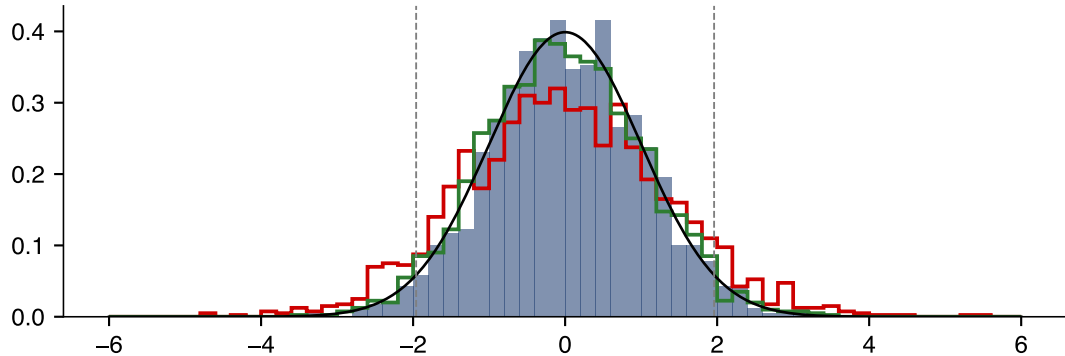


$$\text{Var}(r_t + r_{t-1} + r_{t-2}): 3 \gamma_0 + 4 \gamma_1 + 2 \gamma_2$$



Null distributions, $T = 1000$, 2000 simulations



- $z(2)$, i.i.d. returns: $|z| > 1.96$ in 5.0%
- $z^*(2)$, GARCH returns: 5.2%
- $z(2)$, GARCH returns: 13.5%
- $N(0,1)$ density